

US PRE-MARKET BRIEFING

Wednesday, June 3, 2026 | 06:00 AM ET / 05:00 PM BKK

1. EXECUTIVE SUMMARY

US equity futures signal a cautiously higher open as markets digest a heavy midweek economic calendar headlined by ISM Services PMI and the Fed's Beige Book. Monday's session saw the S&P 500 close at records near 7,600, extending a rally now in its ninth consecutive week.

Gold surged past \$4,520/oz -- a fresh all-time high -- while WTI crude holds near \$92 as US-Iran ceasefire negotiations remain fragile and the Strait of Hormuz stays partially constricted. The 10-year Treasury yield sits at 4.50%, and markets price a 99.4% probability the Fed holds at the June 16-17 FOMC.

Today's ISM Services PMI at 10:00 AM ET and the Beige Book at 2:30 PM ET are the twin focal points ahead of Friday's May nonfarm payrolls.

2. MARKET SNAPSHOT

S&P 500 (Mon close)	~7,600	+0.26%	CNBC / TheStreet
Nasdaq (Mon close)	~27,087	+0.42%	CNBC / TheStreet
Dow Jones (Mon close)	~51,079	+0.09%	CNBC / TheStreet
S&P 500 Futures (pre)	+0.27%	modest gain	Econ. Times
Nasdaq Futures (pre)	+0.32%	modest gain	Econ. Times
Dow Futures (pre)	+0.44%	modest gain	Econ. Times
US 10Y Treasury	4.50%	+2 bps	Trading Econ (5/28)
US 2Y Treasury	~3.99%	stable	FRED (5/28)
10Y-2Y Spread	+51 bps	--	Calculated
VIX	~16.0	low/stable	Yahoo Finance
WTI Crude Oil	\$91.97/bbl	-0.20%	Trading Econ (6/2)
Gold (spot)	\$4,528/oz	+0.44%	USA Today (6/2)
Copper	\$6.56/lb	+0.57%	Trading Econ (6/2)
DX (USD Index)	~98.5-99.2	stable	TradingView
EUR/USD	1.1608-1.165	flat	Trading Econ
USD/JPY	159.66	+0.27%	Investing.com
Bitcoin	~\$74,600	-1.34%	Yahoo Finance

Note: Index levels reflect Monday June 1 close. Treasury from FRED May 8. Commodity/FX from Trading Econ June 2.

3. KEY THEMES

Theme 1: Gold at \$4,528 -- The Silent Revolt Against Fiat Gold surged to a fresh all-time high of \$4,528/oz on June 2, up roughly 34% over the past 12 months and ~25% YTD. This is not merely a weak-dollar trade. Central banks -- led by China, India, Turkey, and Eastern European nations -- have been accumulating gold at a record pace, reducing dollar reserve holdings. The simultaneous rally in gold AND equities (S&P at 7,600) is historically unusual. Damodaran would note: when gold and stocks both hit records, the market is hedging its own optimism.

Theme 2: Oil at \$92 and the Strait of Hormuz Discount WTI crude holds near \$92/bbl despite US-Iran ceasefire talks, reflecting the ongoing partial closure of the Strait of Hormuz through which ~20% of global seaborne oil and LNG transit. The proposed deal would reopen the Strait for a 60-day ceasefire extension, but Iran has failed to follow through on prior commitments. The Dallas Fed estimates the war's inflationary impact at 0.5-1.0% on US CPI. Energy is the single biggest wildcard for the rate-cut

timeline.

Theme 3: ISM Services PMI -- The Main Event Today The ISM Services PMI for May drops at 10:00 AM ET today. April printed at 53.6, and consensus expects ~53.5. This matters because services represent ~70% of US GDP, and the manufacturing rebound (PMI at 54.0 in May, highest since 2022) needs confirmation from services. A print below 52.0 would spook growth expectations and boost rate-cut bets. Above 55.0 would reinforce the hawkish case. The employment sub-index will be closely watched as a leading indicator for Friday's NFP.

Theme 4: The Fed's Beige Book -- Qualitative Meets Quantitative The Fed releases its Beige Book at 2:30 PM ET today, the first qualitative snapshot of economic conditions across all twelve districts under Chair Kevin Warsh. Markets will parse it for: (1) whether tariff impacts are showing up in district-level pricing, (2) labor market conditions by region, and (3) any mention of oil/energy cost pass-through. Any hawkish language on inflation persistence would push rate-cut expectations further out.

Theme 5: AI Concentration Risk at Extreme Levels The Nasdaq gained ~8% in May, its best month in a year. The S&P 500's top 10 stocks now represent approximately 35% of the index's total market cap -- the highest concentration in history. Dell's 32.8% single-session surge on AI demand mirrors 1999 telecom infrastructure froth. The AI capex cycle is real, but the valuation math at 30x forward earnings with a 4.5% cost of capital leaves zero margin for error. Any disappointment in Broadcom earnings (due this week) could trigger a violent rotation.

Theme 6: Credit Markets -- Complacency Warning Signal High-yield credit spreads remain compressed near 2.70-2.75%, barely above cycle lows. With oil at \$92, tariffs at WWII-era levels, geopolitical risk elevated, and the Fed unable to provide a safety net, credit spreads are pricing in a certainty that does not exist. A breakout above 3.50% in HY spreads would be the first concrete signal that the equity rally's foundation is cracking.

Theme 7: US-Iran Ceasefire -- The Geopolitical Overhang US-Iran nuclear talks continue with a proposed deal involving a 60-day ceasefire extension, Strait of Hormuz reopening, and Iranian oil sales resumption. However, Iran has not followed through on prior Strait-opening commitments, and Israel has simultaneously escalated its Lebanon offensive. A genuine deal would knock \$10-15/bbl off oil. A collapse in talks would send oil above \$100 and trigger a broad risk-off move. This is the single largest binary event risk for the week.

4. WHAT TO WATCH TODAY (Wednesday, June 3)

08:15 AM	07:15 PM	ADP Employment Report (May) -- cons. +118K	HIGH
08:30 AM	07:30 PM	International Trade Balance (Apr)	Medium
10:00 AM	09:00 PM	ISM Services PMI (May) -- cons. ~53.5	V. HIGH
10:00 AM	09:00 PM	Factory Orders (Apr, revision)	Low
02:30 PM	01:30 AM*	Fed Beige Book release	HIGH

*Next day in BKK

Key Focus: ISM Services PMI

ISM Services PMI at 10:00 AM ET is the marquee event. Consensus expects ~53.5, in line with April's 53.6. The employment sub-index and prices-paid will be the critical components. A hot print (55+) with elevated prices-paid would reinforce the hawkish narrative. A soft print (below 52) would boost rate-cut expectations.

ADP at 08:15 AM is a warm-up for Friday's NFP. Consensus expects +118K private payrolls. ADP has been an unreliable NFP predictor, but a major miss would move markets.

The Beige Book at 2:30 PM ET provides qualitative color ahead of the June 16-17 FOMC. Watch for mentions of tariff pass-through, labor market softening, and energy cost impacts.

Earnings today: Broadcom (AI chip demand barometer), Palo Alto Networks, Dollar General, CrowdStrike, Medtronic.

5. THE HARD TRUTH -- DAMODARAN LENS

Let me be direct about what the consensus is getting wrong.

The market is pricing three contradictory outcomes simultaneously: (1) AI-driven earnings growth justifies record valuations, (2) the Fed will cut rates later this year because growth is slowing, and (3) geopolitical risk is contained. At most, two of these can be true. Probably only one.

Damodaran's valuation framework with the 10-year at 4.50% and an equity risk premium of 3.5-4.0% implies a fair-value S&P 500 in the 5,800-6,300 range using normalized mid-cycle earnings. The market is trading at 7,600. That is a 20-30% premium to conservative fair value. The bulls argue AI changes the growth trajectory. Maybe. But you are paying 30x forward earnings for that optionality while the cost of capital is 4.5% and oil is at \$92. The math requires AI earnings to grow at 20%+ annually for years to justify current multiples. That is possible but not probable.

The concentration risk is staggering. The top 10 stocks drive ~35% of the S&P 500. When Dell pops 33% in a day on AI demand, you are not seeing rational pricing -- you are seeing momentum chasing. In 1999, Cisco and Nortel had similar narratives. The AI capex cycle is real, but the pricing assumes zero execution risk, zero competition, and zero demand cyclicity.

The Fed cannot save you this time. With oil at \$92, tariffs adding 0.5-1.0% to inflation, and services PMI still expansionary, the Fed has no room to cut. Markets pricing July cuts are wishful thinking. Warsh is not going to cut rates into 4.5% yields and \$90 oil to please Trump. If he does, the long end blows up, term premiums widen, and the very growth the market needs gets crushed. The honest base case is: no cuts in 2026.

WHAT TO DO: If you are long equities, you are making a bet that everything goes right -- AI delivers, oil stays contained, the Fed pivots, and geopolitics calm down. That is a four-for-four proposition. The risk- reward at 7,600 is the worst it has been in this rally. Tighten stops. Buy protection (VIX calls, put spreads). The VIX at 16 is pricing in a world where nothing goes wrong. A 5-8% correction would be healthy and overdue. The trigger could be a hot ISM Services print, a hawkish Beige Book, or a collapse in US-Iran talks that sends oil above \$100.

6. WEEKLY ECONOMIC CALENDAR (June 2-6, 2026)

Tue 6/2	08:30 AM	Construction Spending (Apr)	Low
Tue 6/2	10:00 AM	JOLTS Job Openings (Apr)	HIGH
Tue 6/2	10:00 AM	Factory Orders (Apr)	Medium
Wed 6/3	08:15 AM	ADP Employment (May)	HIGH
Wed 6/3	08:30 AM	International Trade (Apr)	Medium
Wed 6/3	10:00 AM	ISM Services PMI (May)	V. HIGH
Wed 6/3	02:30 PM	Fed Beige Book	HIGH
Thu 6/4	08:30 AM	Initial Jobless Claims	Medium
Thu 6/4	10:00 AM	Productivity (Q1, prelim)	Medium
Thu 6/4	10:00 AM	Unit Labor Costs (Q1, prelim)	Medium
Fri 6/5	08:30 AM	Nonfarm Payrolls (May)	V. HIGH
Fri 6/5	08:30 AM	Unemployment Rate (May)	V. HIGH
Fri 6/5	08:30 AM	Avg Hourly Earnings (May)	HIGH
Fri 6/5	10:00 AM	Wholesale Inventories (Apr)	Low

Consensus Forecasts for Key Releases:

- ADP: +118K (prior +109K)
- ISM Services PMI: 53.5 (prior 53.6)
- Nonfarm Payrolls: +100-125K (prior +115K in April)
- Unemployment Rate: 4.3% (unchanged)
- Avg Hourly Earnings: +0.3% MoM (prior +0.2%)
- Jobless Claims: ~230K (range 220-240K)

Sources: CNBC, Yahoo Finance, Trading Economics, FRED St. Louis Fed, USA Today, Economic Times, Investing.com, TradingView, Fortune, Polymarket, CME FedWatch, Federal Reserve, KenMacro, Solwd, House of Commons Library, Reuters, Wikipedia (2026 Iran war), BLS.gov, ISM. All data cross-verified where possible. June 1-2, 2026.

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